dramatic over this same period.[134] Although it may be argued that free trade provides cheaper and better goods to both parties, national policymakers who conceptualize international political and economic relations in terms of relative power capabilities reliably prefer trade or current account surpluses to deficits. Such surpluses provide the nation with a cushion, enabling them to import essential goods even when there is an unanticipated, and uncontrollable, decline in exports, such as might be due to long-term shifts in a global commodity cycle or a recession in a major trading partner. Surpluses also enable a country to accumulate foreign exchange reserves or purchase foreign assets[135]—arguably important resources for both defensive and offensive financial statecraft.

The BRICS accounted for only 3.2 percent of the global current account surplus in 1995, while the G5 (mainly Japan) were responsible for almost half, or 45.6 percent. However, the United States had no share in this current account surplus, having moved into permanent structural deficit on current account in the early 1980s. By 2013, the BRICS, but overwhelmingly China, owned 14.8 percent of the global current account surplus, while the share of the G5 had fallen below 20 percent, with almost all this remaining share due to Germany.

Another type of national financial capability is the size of a country's home credit and capital markets as a share of world totals. Of course, the country's degree of international integration matters, as a large domestic market with high barriers to foreign participation will have less influence in global financial markets than a home financial market that is more open to foreign inflows and outflows.[136] As BRICS economies have grown, so has the value of their domestic financial sectors, rising from 2.4 percent of the world in 1995 to almost 11 percent in 2013. This development is once again mainly, although not entirely, due to an increase in China's share. Meanwhile, the share of the G5 fell from over three-quarters (77.7 percent) to under half (47.8 percent). The importance of the U.S. home market rose slightly, however, reflecting its continuing role as the world's safe haven during any international financial or political crisis.

However, in the twenty-first century, China has increasingly dominated new flows of foreign investment, especially foreign loans and FDI. Although China's domestic financial markets are not yet trusted by international investors, the advantages of trading with and transacting financial business in the home markets of the country with the largest pool of investible resources already have generated a large uptick in RMB use, as discussed in this chapter's final section.

The penultimate data column in Table 2.6 suggests that there also has been a recent but profound shift of international monetary or currency capability from the incumbent major powers and toward important emerging powers, especially China. As shown, from the mid-1990s to 2013, China's share of global foreign exchange reserves grew from a significant 5.5 percent to a dominant 32.6 percent, overtaking Japan in 2006, which was previously the holder of the world's largest official reserves. The other BRICS members also increased their holdings from about 6 to almost 10 percent of global totals. Meanwhile the combined holdings of the G5 countries (largely of one another's currencies) fell from about 30 percent to just under 14 percent over the same period.

The large foreign exchange buildup in the central banks of many emerging economies, to a great extent a defensive reaction to the waves of financial contagion that hit emerging economies in Latin America, East Asia, and Eastern Europe in the 1990s, has been widely noted. In particular, economists debate whether such official reserves, primarily invested in low-yielding Treasury securities of hard currency countries, especially the United States, are an inefficient use of valuable national resources. As becomes clear in Chapter 3, one impetus for both the NDB and the AIIB comes from concerns among policymakers in China and the other BRICS over the costs associated with arranging for themselves protection from the volatile capital flows that had been associated with financial globalization since the early 1980s.

Conceptualization of large foreign exchange reserves as an international financial power capability is, of course, controversial. As is frequently observed, not only are such reserves expensive (in terms of foregone opportunity costs to invest in higher-yielding foreign assets, for example), but they also create vulnerability for their holder. While the U.S. dollar surely would tumble were China to decide to unload a large quantity of U.S. public debt securities, a fall in the international value of the U.S. dollar would impose an equivalent reduction on the value of Chinese government savings, which would then be worth that much less in terms of what they potentially could purchase in world markets. The straightforward conclusion, thus, is stalemate: So long as China owns large dollar holdings, both the United States and China have a strong incentive to maintain a high value for the U.S. dollar. However, the underlying shifts in various trade, financial, and monetary capabilities just detailed—beginning with the expanding share of the global current account surplus held by emerging powers (notably China, but also the other BRICS countries)—are continuing. Both the United States and Britain demonstrate the international profiles of declining financial and (eventually) declining currency great powers, while China boasts the profile of a country likely to increase its global financial and monetary weight.[137]